

Robinhood Markets, Inc.

HOOD NASDAQ

Hold	\$103.62 ▼ 4.17%	12M Price Target \$110.00	52-Week Range \$63.52 – \$153.86	Market Cap \$93.16B
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HOOD: Crypto Rally Fuels Rip, But CLARITY Act Vote Looms

WHAT HAPPENED

- HOOD ripped 14% on Thursday (\$95 → \$108) then gave back 4% Monday. The move lines up perfectly with bitcoin wiping out three months of losses in a week and crypto exchange volumes doubling in five days — HOOD makes real money on crypto trading, so this is a direct earnings kicker, not just vibes.
- The bigger catalyst though: the CLARITY Act (the big crypto market structure bill) is heading to a 60-vote Senate hurdle right after a White House crypto meeting. Traders are front-running a regulatory green light for tokenized assets — which is exactly what Vlad Tenev has been publicly betting the company on.

WHY IT MATTERS

Here's what I think is really going on: HOOD has quietly become a leveraged bet on crypto policy, not just crypto prices. If the CLARITY Act clears the Senate, it legally blesses tokenized stocks, bonds, and real-world assets — which is Tenev's entire product roadmap. That's why the stock is up ~60% from its 52-week low even though earnings haven't fundamentally changed. The flip side worth chewing on: the options flow is screaming caution. Big money is buying September \$170-\$180 puts in unusual size — that's someone paying real premium to bet the stock falls 60%+ in a month, which usually means they're either hedging a huge long position OR they know something about the Senate vote math. Either way, the risk/reward here is asymmetric in a scary way — pricing already assumes the bill passes.

POLICY & POLITICAL WATCH

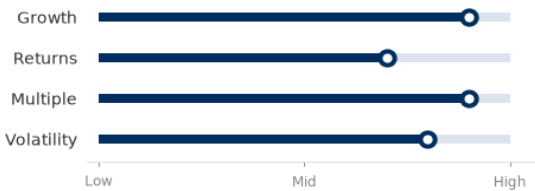
The CLARITY Act is THE story — it's the bill that would finally decide whether crypto tokens are securities (SEC's turf, restrictive) or commodities (CFTC's turf, permissive). It needs 60 Senate votes, which means Democrats have to cross over, and last week's White House meeting suggests the administration is pushing hard. If it passes: HOOD can legally offer tokenized US stocks to a global audience — a massive TAM expansion. If it fails or gets watered down: the tokenization thesis gets pushed out 12-18 months and this stock has a lot of air underneath it. Also watch: the SEC's evolving stance on staking and prediction markets — both are HOOD product lines now.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$103.62
12M Price Target	\$110.00
Upside / (Downside)	+6.2%
Market Cap	\$93.16B
FY2026E Revenue	\$4,250M
FY2027E Revenue	\$5,100M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.40
Fwd P/E	56.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$120.00	\$105.00	\$88.00
6 Months	\$140.00	\$110.00	\$80.00
1 Year	\$160.00	\$115.00	\$70.00
2 Years	\$200.00	\$130.00	\$60.00
5 Years	\$300.00	\$175.00	\$50.00
10 Years	\$500.00	\$250.00	\$40.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Financials (+1.3% today, +1.1% week) are catching a bid as rate-cut expectations firm up and crypto rallies drag capital markets names higher. Anything crypto-adjacent (exchanges, miners, custody) is in favor as CLARITY Act headlines flow.

COOLING OFF: Utilities weak on the week (-2.2%) as risk-on rotation pulls money out of defensive dividend payers. Consumer Discretionary underperforming despite the tape being green.

ROTATION WATCH: Money is clearly rotating into risk-on/crypto beta and out of safe-haven trades. That's a tailwind for HOOD but also means it's a "high beta" moment — meaning when the tape rolls over, HOOD falls harder than the market.

RELATED PLAY: If you believe the tokenization thesis but want less earnings volatility, the crypto infrastructure names (COIN, custodians, stablecoin issuers) benefit from the same policy tailwind without being as exposed to retail trading volumes.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Same CLARITY Act tailwind, more direct crypto exposure — usually leads HOOD on these policy trades.
- MSTR (Strategy): Bitcoin proxy — up big on the BTC recovery, and it's the purest way to play crypto direction.

HOOD CONTEXT: HOOD is roughly tracking COIN on this move but with more torque from the tokenization narrative that's specifically Tenev's baby. If HOOD starts lagging COIN meaningfully in coming days, that tells you the market is losing faith in the tokenization-specific story and just trading it as generic crypto beta.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$88-95 on pullbacks

Time Horizon: 12-18 months

Thesis Invalidation: CLARITY Act fails Senate + bitcoin rolls back under \$90k

Hedging: Buy Sept puts or pair long with short COIN